



stock market! A portfolio manager would be in direct touch with the investor and would be held responsible for his wrongdoings. A fiduciary relationship requires this set-up. The portfolio manager's business will be dependent on his individual expertise and performance and this would lead to better performance for the individual investor. Competition among portfolio managers will ensure performance and market forces will throw out the incompetent. Financial markets would improve. Even today if the portfolio management industry is given the same sops and tax benefits that the mutual fund industry enjoys, the latter would soon lose out. This is an idea whose time has come.

Now that we are aware how we fall prey to mental heuristics by ignoring the rules of investment, we shall study the stock market behaviour in times of boom and bust and how various types of investor behaviour play their part. Move on to the next chapter.